Here's the whole solution, step by step, with every person, every action and every number. The names are fictional, and the amounts are the demo's test USDC.

In one sentence

Before Maria leaves for Hong Kong, Laya checks every bill she's given, sends each one to whoever legally owes it, pays the business directly, lends her money only for what she really owes, and refuses illegal fees. Every payment ends up on a public receipt.

The cast

Everyone who pays or signs has a wallet, a browser extension holding their Stellar account.

Who	Example	What they do in Laya	Has a wallet?
Worker	Maria, a domestic worker going to Hong Kong	Lists her bills, approves them, later sends money home	Yes
Providers	Sampaguita Training Center, Bayside Medical Clinic	Bill Maria for a service, confirm the amount, get paid	Yes
Employer	The Chan family in Hong Kong	Pays the bills it legally owes	Yes
Mission funder	Bayanihan Microfinance	Lends Maria the bills she legitimately owes	Yes
Family	Lorna, Maria's mother	Receives the money Maria sends home	Yes, but never signs
Admin / reviewer	Our team in the demo, a legal partner later	Keeps the provider list and the rulebook, reviews unclear bills	Yes

There's also a non-person piece:

- **The rulebook:** a table in the app. Each row says, for this route (Philippines to Hong Kong, domestic work), who owes a type of bill and the most it can fairly cost, with a link to the official source.

Before anything happens: setup

1. The admin adds the **verified providers** to the contract's list (the old creditor list). Only listed providers can be paid through Laya.
2. The **rulebook** is loaded into the app. For the demo:
    - Medical exam: **employer-owed**
    - Required training: **worker-payable**, up to ₱11,000 (190 USDC)
    - Placement fee: **prohibited**
3. Everyone's wallet holds test USDC. In the demo, the employer and the funder start with balances, and Maria starts with some money for sending home later.

Step 1: Maria lists her bills

Maria opens the request page and enters each bill separately:

Bill	Provider	Amount	Invoice file
Medical exam	Bayside Medical Clinic	65 USDC	clinic-bill.pdf
Training course	Sampaguita Training Center	190 USDC	training-bill.pdf
Placement fee	QuickPlace Agency	1,380 USDC (₱80,000)	placement-bill.pdf

For each bill, two things happen:

- **The app checks the rulebook** and shows the result immediately: "Employer pays", "You'll borrow this", or "Refused: placement fees for Philippine domestic workers are prohibited," with the source link.
- **The app makes a fingerprint of the invoice file** (a SHA-256 hash). The file never leaves her browser. Only the fingerprint is saved.

For the training bill, she also chooses the **share of each remittance** she'll repay with (1% to 15%, 15% in the demo) and enters Lorna's wallet.

She signs once per eligible bill. That signature creates a **request** on Stellar, status "Open." Her signature is her consent: nobody can sign her up without it.

The placement fee never becomes a request. The app refuses it before anything goes on Stellar. She gets a saved refusal note with the invoice fingerprint and the rule it broke. In this version the refusal lives in the app, not on Stellar. The v2.0 spec should decide whether to put refusals on-chain later.

Step 2: Each provider confirms its bill

- The clinic opens its provider page, sees "Medical exam, 65 USDC, Maria," and clicks **Confirm**.
- The training center does the same for 190 USDC.

Each confirmation is the provider's own signature on Stellar. The request status changes to "Confirmed." From then on the amount is locked, so the provider can't ask for more. **If a provider never confirms, nothing is ever paid.**

Step 3: The right party pays the provider

Medical exam, paid by the employer (Grant mode)

- The Chan family opens the funder page, sees the confirmed 65 USDC bill, and clicks **Pay as employer**.
- In one transaction, **65 USDC moves from the Chans' wallet to the clinic's wallet**, and a record is created marked "Repaid," because Maria owes 0.

Training, paid by the funder (Loan mode, 3% fee)

- Bayanihan opens the funder page, sees the confirmed 190 USDC bill, optionally checks the invoice file against its fingerprint, and clicks **Fund as loan, 3% fee**.
- In one transaction, **190 USDC moves from Bayanihan's wallet to the training center**, and a loan is created for Maria:
    - Owed: 190 + 3% = **195.70 USDC**
    - The fee is set once and never grows. The 3% is the funder's price; Laya caps it at 8% by its own policy, not because a law says so.

The safety rule: the payment and the loan record happen together or not at all. If Bayanihan doesn't have enough money, the whole transaction fails, and no loan exists.

After step 3

- The clinic has 65 and the training center has 190, both paid in full, up front.
- Maria owes only 195.70, to a fair lender, for the one bill that was hers.
- The 1,380 placement fee was never paid or borrowed.

Step 4: Maria repays by sending money home

Maria arrives in Hong Kong and starts getting paid. Each month she sends money home through Laya, and one transaction splits it: her 15% goes to Bayanihan, the rest to Lorna.

Month	She sends	To Bayanihan	To Lorna	Still owed

Start				195.70
1	400	60.00	340.00	135.70
2	400	60.00	340.00	75.70
3	400	60.00	340.00	15.70
4	400	15.70	384.30	**0, repaid**

- **Month 4:** her 15% would be 60, but she only owes 15.70, so Bayanihan gets exactly 15.70 and Lorna gets the rest.
- **After that:** everything she sends goes to Lorna.
- **Bayanihan's result:** it paid 190 and got back 195.70, so it earned 5.70.

If she has a month with no income

- She sends nothing, so nothing is taken and nothing is added. The balance stays the same.
- The app shows "Paused, 1 of 3."
- After **more than 3** missed months, the loan is flagged **overdue**. The flag adds no penalty; it tells the funder to follow up off-chain.
- A tiny payment can't fake activity: only a payment to the funder of at least 1 USDC resets the pause clock.
- In the demo, one month lasts 60 seconds, so judges can see a pause live.

Her other options

- She can **raise** her share to pay off faster, but she can't lower it below what was agreed at funding.
- She can **cancel** a bill before it's funded.

Step 5: Anyone can check the receipt

The public page, which needs no wallet, shows for each bill:

- the provider, the amount, and the pile it went into, with the rule and its source link
- when the provider confirmed it
- who paid (the employer or the funder), and when
- the invoice fingerprint, plus a box where anyone can drop the file to check it matches
- links to the transactions on a public Stellar explorer

What the receipt proves: who agreed, who paid, how much, and that the invoice hasn't been changed. **What it doesn't prove:** that the original document was genuine. That's what the provider's confirmation and the verified-provider list are for.

Edge cases

What goes wrong	What happens
The provider isn't on the verified list	Marked "needs review"; the admin checks it
The price is above the rulebook's fair limit	Marked "needs review"
The bill type isn't in the rulebook	Marked "needs review"
The provider never confirms	Nothing is paid
The employer won't pay	The bill stays unpaid and marked; Maria can pay outside Laya and use the record to claim it back
The funder doesn't have enough money	The transaction fails, and no loan is created
Maria sends money outside Laya	Nothing is repaid from it; the loan pauses
A legal bill is wrongly refused	It goes to review or appeal; Maria can still pay it elsewhere
A dispute with a provider	Laya gives Maria the receipt to take to Hong Kong's Employment Agencies Administration or the Philippine labor office

What lives on Stellar, and what lives in the app

On Stellar (the contract)	In the app
The verified-provider list	The rulebook, with source links
Each request: provider, amount, invoice fingerprint, share, status	Provider names and types, demo people
The provider's confirmation	Refusals and the review queue
Every payment, and each loan's balance, totals, and pause clock	The invoice files themselves (they never leave Maria's browser)
The remittance splits	

Where all the money ends up in the demo

Who	Change
Bayside Medical Clinic	+65
Sampaguita Training Center	+190
The Chan family	−65
Bayanihan Microfinance	−190, then +195.70 (net +5.70)
Maria	sends 1,600 over four months; 195.70 of it repays her loan
Lorna	+1,404.30
QuickPlace Agency	0, the illegal fee was refused

Two details the v2.0 spec must decide

1. **Do refusals go on Stellar?** Right now the app keeps them. Putting them on-chain makes the refusal public evidence, but it needs a contract change.
2. **Does the employer need its own demo account?** The current setup has one funder account. The demo either adds an employer account or uses the funder account labeled as the employer.

What Laya doesn't do

- It can't force an employer to pay, or a provider to confirm.
- It can't stop pressure that happens outside Laya.
- It only collects repayment from remittances sent through Laya.
- Its rulebook covers one route, maintained by people, and it runs on testnet with test money.

If you can explain step 3 and the month-by-month repayment table without looking, you've got it. Want me to quiz you with five questions to check?